Example 24: Cutting the peak customs rate by 5 percentage points every year

In 2000, the Vajpayee government chose a path : the peak customs rate would drop by 5 percentage points every year. Everyone in the administration understood the strategy and consistently communicated it.

At first, there was an uproar from incumbent firms, and the government had to deal with their anger in year 1. From year 2 onward, firms understood that the peak rate was going to be down by an additional 20 percentage points by year 5. This set off India's firms on paths of fundamental productivity growth, and improved the choice of investment projects. Every step of the way, as customs duties were cut, tradeables in India became cheaper, and this kicked off an export boom.

This combination of communication and staggered introduction of the reform induced synchronization between the government and the private sector. This was critical for the economic boom which started in 2003.

Before the first year

In the world of business, there is a balance between building a great product and selling it on the market. An extreme emphasis on a sales and advertising team can yield a brief surge of customer interest, but this does not translate into sustained success if the product is not of high quality and the machinery of production and distribution is not in place. In other words, a firm needs not just sales and advertising, it also needs research, design and operations management. It needs a great product and the capability to produce and distribute the product, on top of which the sales and advertising offensive is essential.

There is an analogy with the world of politics. Running an election campaign is analogous to the sales and advertising problem. To win power, this is essential. But if this is all that is done, sustained voter satisfaction